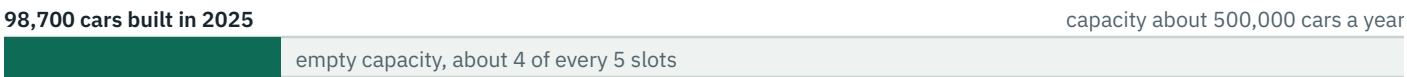


Ford partners abroad, gatekeeps at home

Signal	On September 29, Ford CEO (chief executive) Jim Farley said it is "too late" for Europe to hold off Chinese automakers, but not for the US (United States). Ford, he added, will partner with them "in places like Europe."
Read	In Europe, Ford can't fill its factories or match Chinese costs, so it is making Geely, a Chinese rival, a paying partner in its Spanish plant. At home, where Chinese cars are still kept out, Farley wants entry slow and on incumbents' terms.
Cost	Ford gives up a third of its plant, and a rival builds inside Europe's tariff wall for about \$9,100 a car less than shipping from China (Est.). Closing instead would have cost Ford an estimated \$450 million to \$680 million in cash.

The simple version

Ford's plant in Valencia, Spain runs mostly empty. Ford is moving it into a new company, selling 34% of that company to Geely, and from 2028 both brands build cars there. Geely has not said how many. Think of a mostly empty mall selling a third of itself to the discount chain taking its customers.



The money walk Est. = estimate. Payment terms beyond the stake price are not public

1. Before, 2025	2. Deal day, Jul 23 2026	3. Early 2027	4. From 2028	5. Every year
98,700	+\$250M	4,142	~\$9,100	~\$80M
cars built in a plant made for about 500,000	Geely pays for 34% of the new plant company. Where the cash lands is not public	workers move to the new company, which takes over the plant and its fixed costs	Geely saves per electric SUV built in Spain instead of shipped from China (Est.)	of ~\$234M plant payroll moves to Geely. Ford keeps ~\$154M (Est.)

Why not just close the plant?

Option A: close Valencia		Option B: bring in Geely	
Cash	-\$450M to -\$680M (Est.)	Cash	\$250M from Geely, recipient not public
Plant	Gone	Plant	Kept. Ford owns 66%
4,142 jobs	Cut	4,142 jobs	Kept in the new company
Ford's yearly payroll	None; no Ford cars built	Ford's yearly payroll	~\$154M, down from ~\$234M
Geely's cars for Europe	Shipped from China, taxed	Geely's cars for Europe	Built in Spain, no import tax

How the estimates were made

\$33,900	× 28.8%	= \$9,760	– \$680	≈ \$9,100
assumed price of a Geely SUV	EU (European Union) tax on Geely's China-built electric cars	tax avoided per car	higher Spanish labor cost per car	Geely saves per car

Closure: severance for 4,142 workers runs ~\$188M at Spain's legal minimum to ~\$468M at an assumed 2.5×; Est. total cash to close, other costs included: \$450M to \$680M. Payroll: 4,142 × ~\$56,500 (assumed) = ~\$234M a year, split 66% Ford, 34% Geely. All euro amounts converted at €1 = \$1.1298 (European Central Bank reference rate, Oct 1 2026).

Who else builds Chinese cars in Europe

Chinese brands' share of Europe's car market: 7.1% in August 2025, a record 11.7% in August 2026.

Who	Chinese partner	Money or scale	Plant	Status	The read
Ford, Spain	Geely	\$250M for 34%	Ford's own, mostly idle	Venture 2027, new cars 2028	Host keeps control; the rival gets a factory inside the EU
Stellantis, Spain	Leapmotor	\$1.7B for 21% of Leapmotor	New line in Zaragoza; Madrid plant in transfer talks	Plans announced May 2026	The Western partner owns part of the Chinese brand and sells it in Europe
Ebro, a Spanish carmaker	Chery	\$170M invested	Nissan's Barcelona plant, closed 2021	Building since Nov 2024 from kits (cars shipped in pieces) from China	A plant a Western maker gave up became the Chinese way in
Nissan, UK	Chery	Not disclosed	One line at Sunderland; Nissan keeps it	Non-binding, Jun 2026	Rents a line and gives up no ownership
BYD, Hungary	Its own plant	150,000 cars a year capacity	New factory	About a year late; full output Q4 2026	Building new is slow, so BYD now prefers taking over an existing plant

What it looks like for you

List price of a small EV (electric vehicle), before incentives, 2026. This is the gap the walls hold back.

In China	about \$10,200 (BYD Seagull)
In Europe	\$21,400 (Leapmotor T03, Chinese brand) to \$37,200 (Renault 5, European brand)
In the US	about \$29,000 for the cheapest new EV (Chevy Bolt)

127.5%	28.8%	2027	15%
US tax on a China-built EV: 2.5% base + 100% China EV tariff + 25% auto tariff	EU tax on a China-built Geely EV. Plug-in hybrids pay only 10%	model year the US bans Chinese software in cars sold there (Commerce Department rule)	Chinese ownership that would bar an automaker under the Connected Vehicle Security Act, a Senate bill

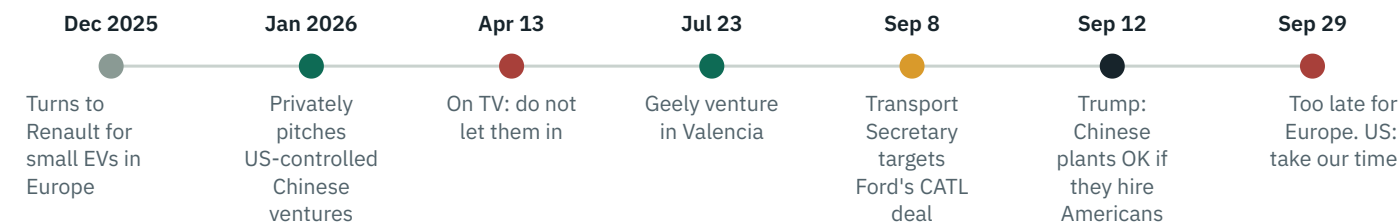
For suppliers: Chinese plants in Europe start with kits and parts makers from China. Europe's car-parts trade with China went from a \$2.1B surplus in the first half of 2024 to a \$2.0B deficit in the first half of 2026.

What's not being said

Jan and Apr 2026	Farley's US plan looks like Valencia: Chinese makers build only in US-controlled ventures. In January he privately pitched officials on letting Chinese automakers build in the US through ventures the US side controls (Bloomberg). In April he said on TV, "We should not let them into our country." His door would put incumbents between Chinese brands and US buyers.
2024 to 2026	Ford already earns from Chinese factories. Its China business made \$900 million in operating profit in 2024 and exported 184,000 vehicles in 2025, some to Europe. Ford objects to Chinese brands selling in the US, not to Chinese factories. Expect the fight to be over brands and ownership, not where a product is made.
Sep 8, 2026	The wall could catch Ford. Ford's new Michigan battery plant runs on designs licensed from CATL (Contemporary Amperex Technology Co. Limited), China's largest battery maker. The US Transportation Secretary wrote Farley he was "deeply alarmed" by that reliance. Pressure meant for Chinese automakers is now aimed at an American company's Chinese license, so any firm with a Chinese technology deal can expect the same scrutiny.

Ford wants to hold the door

What Ford and Washington said and did about Chinese automakers, 2025 to 2026.



Fact

On September 18, six US auto industry groups, including Ford's own trade association, asked President Trump to "keep the door firmly shut to Chinese automakers seeking to sell, import or manufacture vehicles inside the U.S." Ford's trade group is now more restrictive than both the President and Ford's own CEO.

The everyday version, and the 1980s one

Fact

Building a rival's cars in your spare plant is routine today: Magna builds Xpeng EVs in Austria, and Stellantis is adding Leapmotor to a plant in Spain. The US has seen it before. In 1980 Japanese makers held 21.3% of the US market, and Ford joined the union's trade complaint against them. In 1984 GM opened its idled Fremont, California plant to Toyota as a 50/50 venture called NUMMI. Toyota learned to build in America and opened its own plant two years later. GM had still not spread Toyota's methods across its US plants by 1998. In 2009 Asian brands outsold Detroit in the US, 47.4% to 44.2%. The guest learned faster than the host.

Where the 1984 comparison breaks:

In 1984 the host owned the market and went to learn. In Valencia the guest already has the cheaper technology, so Ford is not there to learn it, and Chinese cars carry software and cameras, a security question Japan never raised.

What would change the read

Two things. If the Valencia plant is still running mostly empty in 2029, with Geely building only a token number of cars, the deal delayed a closure rather than saving the plant. If Ford ends up as the American partner in a Chinese automaker's US plant, "not too late for the US" was about who controls the door, not about keeping it shut.

For an executive

Which of our sites or lines run below half capacity, and what would closing them cost compared with what a competitor would pay to use them?

Then: if the partner's payment plus shared fixed costs beats the closure bill, price the partnership before you sign off on the closure.

What does the Chinese-made version of our main product or input cost, delivered with shipping and tariffs paid, in each market we sell in?

Then: where the gap is still wide after the tariff, plan for a Chinese competitor building locally, as Geely is, and set prices and sourcing now.

How many of our suppliers, licensors or partners would fail the Senate bill's 15% Chinese-ownership test, or the 2027 ban on Chinese car software?

Then: if any is critical, line up a second source before the Senate votes on the bill.

What to watch

Late Oct 2026 Ford third-quarter results (date not yet set): any word on Geely volumes at Valencia, and how much Ford's electric-car unit, which lost \$4.8B in 2025, still loses.

Nov 2026 Expected Senate vote on the Connected Vehicle Security Act: if it passes, the 15% ownership ban becomes law.

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